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UAE GDP GROWS 3%, NON-OIL ECONOMY UP 4.8%

Finance, construction lead growth in Q1, while non-oil sectors account for 79.4% of GDP

DUBAI

BY NIVETHA DAYANAND
Assistant Business Editor

The UAE economy grew by 3 per cent in the first quarter of 2026, with real gross domestic product reaching Dh485 billion at constant prices, compared with Dh470.9 billion during the same period last year.

Non-oil GDP expanded by 4.8 per cent, raising its contribution to the national economy to 79.4 per cent from 78 per cent in the first quarter of 2025, according to data from the Federal Competitiveness and Statistics Centre.

Growth was recorded despite regional challenges during the quarter, with the impact confined to a limited number of activities and the overall economic growth trajectory remaining intact.

Finance records fastest growth

Financial and insurance activities were the fastest-growing part of the economy during the quarter, expanding by 17.3 per cent compared with the same period last year.

Construction activity grew by 8.1 per cent, followed by human health and social work activities at 7.7 per cent. Information and communication expanded by 5.9 per cent, while professional, scientific and technical activities together with administrative and support services grew by 4.9 per cent.

Real estate activity increased by 4.8 per cent, public administration, defence and compul-

UAE'S GROWTH STORY IN NUMBERS

Dh485b
UAE's real GDP in Q1 at constant prices

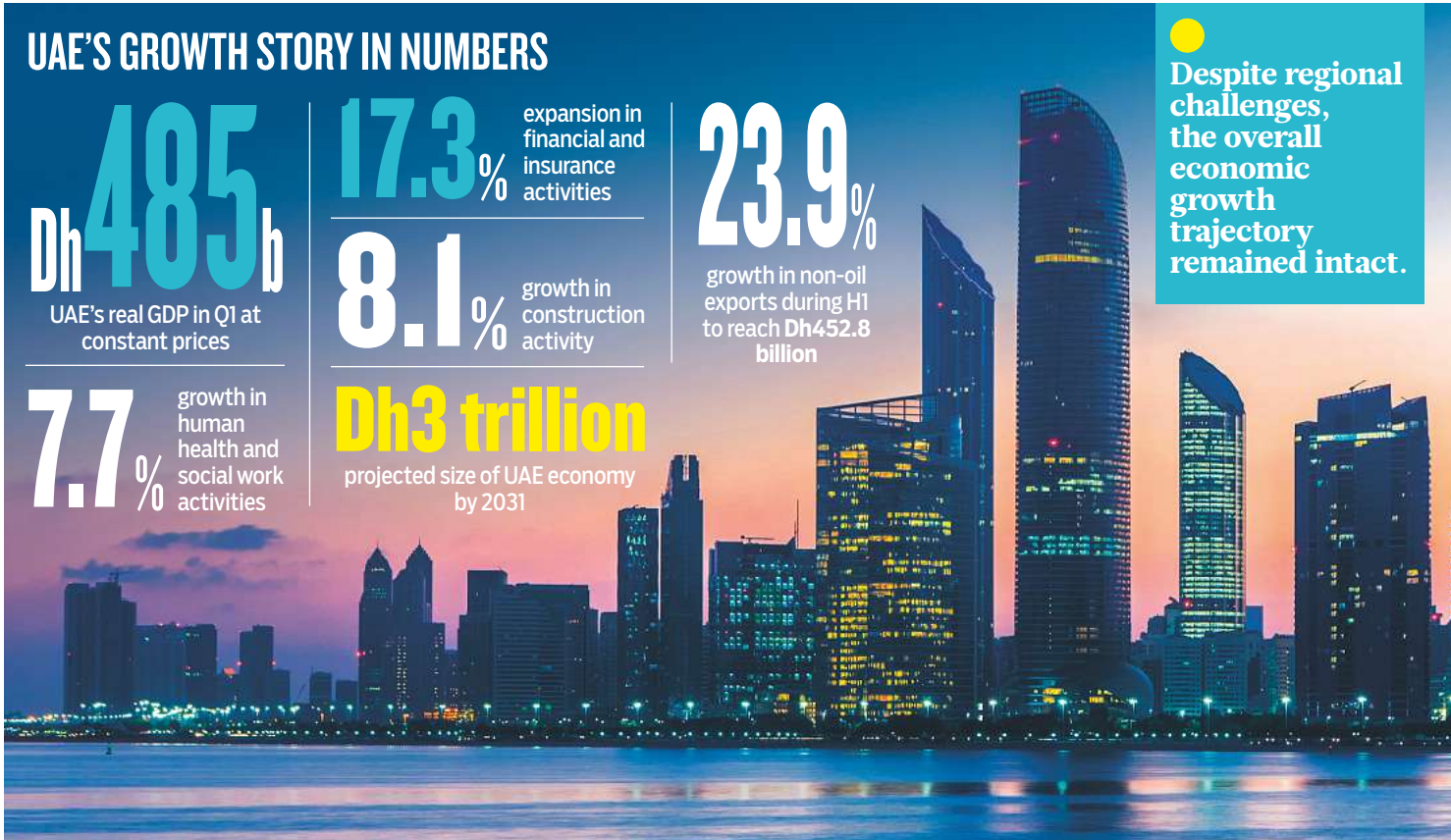
17.3% expansion in financial and insurance activities
8.1% growth in construction activity

23.9% growth in non-oil exports during H1 to reach Dh452.8 billion

7.7% growth in human health and social work activities

Dh3 trillion projected size of UAE economy by 2031

Despite regional challenges, the overall economic growth trajectory remained intact.



sory social security grew by 4.5 per cent, and wholesale and retail trade expanded by 2.6 per cent.

Financial and insurance activities made the largest contribution to non-oil growth, accounting for 2.44 percentage points of the increase. Construction contributed 1.04 percentage points, followed by wholesale and retail trade at 0.42 percentage points and real estate at 0.36 percentage points.

Professional, scientific and technical activities together with administrative services

contributed 0.29 percentage points.

"The growth led by the non-oil economy — through sectors such as finance, trade, and information, technology and communications, which contributed significantly to non-oil GDP growth in the first quarter of 2026, raising its contribution to 79.4 per cent — is not an isolated figure, but the outcome of integrated government policies and initiatives working as one system towards one goal: consolidating the UAE's standing as a global leader in competitiveness, excellence and future

readiness," said Mohammad Bin Abdullah Al Gergawi, Minister of Cabinet Affairs.

Al Gergawi said the government would continue working with private and public-sector partners to ensure economic performance translated into opportunities for citizens, residents and investors.

Doubling the size of UAE's economy by 2031

Abdulla Bin Touq Al Marri, Minister of Economy and Tourism, said non-oil sectors continued to lead economic growth and support the country's posi-

tion as a business and investment centre.

"The results of the first quarter of 2026 reflect the robustness of the national economy's performance and its ability to sustain growth and enhance its competitiveness at both the regional and global levels, embodying the success of the vision and directives of the wise leadership, as well as the policies and legislation adopted by the country to advance economic diversification," Al Marri said.

"Non-oil sectors continue to lead growth, raising their

contribution to 79.4 per cent of GDP, supporting the UAE's sustainable economic growth and reinforcing its position as a global hub for business and investment," Al Marri added.

The We the UAE 2031 Vision seeks to double the size of the national economy to Dh3 trillion by 2031.

Non-oil exports reach Dh452.8 billion

Non-oil exports grew by 23.9 per cent during the first half of 2026 to reach Dh452.8 billion, recording the highest growth rate among the components of the UAE's foreign trade.

Thani Bin Ahmed Al Zeyoudi, Minister of Foreign Trade, said the Comprehensive Economic Partnership Agreements programme had opened new markets for UAE goods and services. "This approach is clearly reflected in the record performance of non-oil foreign trade, as the Comprehensive Economic Partnership Agreements continue to open new markets for UAE exports of goods and services, supporting the growth of non-oil sectors, increasing their contribution to GDP and advancing sustainable economic development," Al Zeyoudi said.

The UAE is also carrying out a comprehensive revision of its GDP accounts, including the addition of new data sources, the inclusion of free zones within statistical coverage and the alignment of methodologies with international standards.

The Q1 results are based on the current methodology, with the historical series set to be updated following the completion of the GDP revision programme.

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US seeks 'denuclearisation of Iran' in 'ultimate deal'

US Treasury Secretary says deal with Iran to reopen the Strait of Hormuz by today

DUBAI

Gulf News Report

US Secretary of State Marco Rubio said Washington's long-term objective in negotiations with Iran is the country's "denuclearisation," while efforts continue to improve maritime security in the Strait of Hormuz.

Speaking at the White House, Rubio said the strait remains open and commercial vessels are continuing to transit the vital waterway. He added that the US is engaged in discussions involving Iran and Oman on measures to allow more ships to pass safely in the near term, alongside broader negotiations aimed at a long-term agreement. Rubio described the "denuclearisation of Iran" as the "ultimate deal" sought by Washington.

US Treasury Secretary Scott Bessent said that the United States could reach a deal with Iran to reopen the Strait of Hor-

CARGO VESSEL HIT BY 'UNKNOWN PROJECTILE'

Britain's maritime security agency UKMT0 said a cargo vessel had been struck by an "unknown projectile" in the Strait of Hormuz off the coast of Oman yesterday.

The vessel was not named and authorities were investigating, UKMT0 said, without offering information on damage or injuries.

Iran continues to impose an effective blockade on the strait and many vessels have chosen to take a southern route, close to Oman on the opposite side of the strait.

—Gulf News Report

muz by today, adding that this would stabilise energy prices.

"We are in talks with the Iranians, and I think there is a chance we may have a deal today or tomorrow to open the strait and move towards a more normalised position in this conflict," Bessent said yesterday in an interview with CNBC.

Iran's foreign ministry has denied that negotiations with Washington were taking place.

Echoing Trump

Bessent's comments echoed those of US President Donald Trump on Monday, who insisted the waterway could reopen within hours after he pulled back from threats of a massive military strike on Iran over the weekend.

In what has become a regular

pattern, Trump last week threatened to hit Iran "very hard", potentially with attacks against civilian infrastructure, only to pull back on Saturday, saying the "perimeters" of a deal were in place.

Qatar, which has been mediating negotiations, said yesterday that diplomatic efforts were ongoing but that there were no direct Iran-US talks planned.

Trump said he expected to know soon how the talks were going, "one way or the other", but insisted "it's not very complex". The diplomatic focus is on reopening Hormuz, which Trump said could come "literally by tomorrow", and the denuclearisation of Iran, which he said could "take a little while".

SEE ALSO P-11

UAE-led crackdown in Amazon leads to 839 arrests

Operation Green Shield 2026 seizes \$280m in assets in 17-day sweep

DUBAI

Gulf News Report

A UAE-led international crackdown on environmental crime in the Amazon Basin has resulted in 1,045 field operations, the arrest of 839 suspects and the seizure of assets, equipment and materials worth more than \$280 million in just 17 days, marking one of the largest coordinated law enforcement campaigns ever conducted in the region.

The seizures included equipment, materials and other assets connected to illicit activities affecting the Amazon's ecosystem.

Lieutenant General Sheikh Saif Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of the Interior, said the operation builds on the UAE's global environmental protection efforts through the International Initiative of Law Enforcement for Climate (I2LEC), launched in partnership with the Unit-

The seizures included equipment, materials and other assets connected to illicit activities affecting the Amazon's ecosystem.

ed Nations Office on Drugs and Crime (UNODC) in 2023 to strengthen international law enforcement cooperation against environmental crime.

Responding to growing international demand for closer coordination among law enforcement agencies, the UAE-led Operation Green Shield 2026 was launched in July in cooperation with Colombia, Ecuador, Peru, Bolivia and Brazil, targeting environmental crimes across the Amazon Basin.

Sheikh Saif said the outcome demonstrates the UAE's ability to transform international partnerships into high-impact operational results, while contributing to a more effective global framework for combating transnational environmental crime and protecting natural ecosystems through coordinated law enforcement action.